

1.5 Tracking Indicators to Track Progress

In this section we will learn about tracking indicators required to monitor progress. In chapters relating to evaluating companies we spoke about Key performance indicators, which are leading indicators of companies performance. We have identified the KPIs at the time of investment itself. We will use the logistics company to track any company's performance.

Logistics Company

	2018	2019	2020	2021
No. of Trucks	12,000	13,000	14,500	14,200
Warehouse Area	2,20,000	2,50,000	2,60,000	3,00,000
Occupancy Rate	64%	72%	68%	55%

Let's say we have identified KPIs for a logistics company. While we fill the data for previous years, we will also try and write our assumptions for coming years.



- Lets say we believe that there should be 20,000 trucks and 500,000 square feet of warehouse space in the year 2024.
- We can lay down some soft goals and then monitor the company's progress against it.
- So, in the coming years, we will refer back to our previous numbers. We will try to analyze if the company is on the road to achieving its targets. If yes! Then our investments will be successful.

If the data is available, we will monitor it after every quarter. At the very least, we will monitor all the KPIs annually to assess the progress of a given company. If the KPIs are going in the right direction, financials will mostly follow the same. This is how we can track our investments.

- In this case, if the company is not getting business, they won't hire additional trucks.
- If a company doesn't anticipate strong demand, high occupancy rates, or strong future sales, it won't hire additional warehouse space.

So, these KPIs explain the business really well.